THE HSC POLICY EVALUATION TOOLKIT

How to judge whether an economic policy is successful

1 CHOOSE THE OBJECTIVE

1 ECONOMIC GROWTH + QUALITY OF LIFE

rising real GDP, productivity and living standards

2 FULL EMPLOYMENT

low unemployment + underemployment, high participation

3 PRICE STABILITY

low, stable inflation

4 EXTERNAL STABILITY

manageable current account & foreign liabilities, stable exchange rate

5 DISTRIBUTION OF INCOME

fairness, equity and opportunity

6 ENVIRONMENTAL SUSTAINABILITY

growth that protects the environment

2 IDENTIFY THE POLICY

MONETARY POLICY

cash rate / interest rates to influence borrowing and spending

FISCAL POLICY

government spending, tax and budget to influence aggregate demand

MICROECONOMIC POLICY

improves the supply side: productivity, skills, competition, infrastructure, energy and regulation

3 PICK THE INDICATORS

GROWTH

- Real GDP
- GDP per capita
- Productivity

EMPLOYMENT

- Unemployment rate
- Underemployment rate
- Participation rate

INFLATION

- CPI
- Trimmed mean inflation

EXTERNAL STABILITY

- Current account
- Foreign liabilities
- Exchange rate

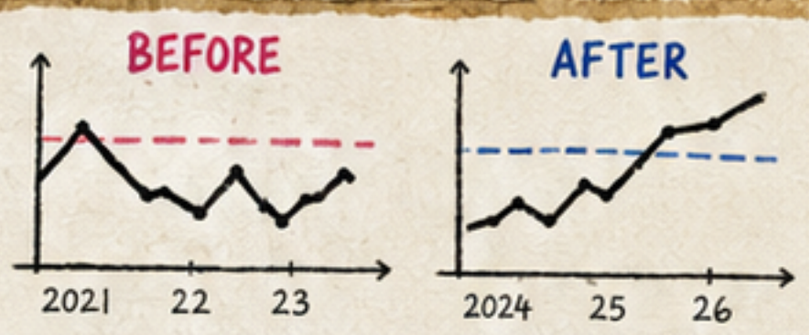
EQUITY

- Lorenz curve
- Gini coefficient
- Living standards

SUSTAINABILITY

- Emissions
- Renewables share
- Energy mix

4 COMPARE RESULTS WITH THE TARGET OR TREND



THREE WAYS TO COMPARE

- ✓ Compare with targets (e.g. inflation 2–3%)
- ✓ Compare with previous years
- ✓ Compare with trend (is it improving?)

5 EXPLAIN THE TRANSMISSION MECHANISM + TIME LAGS

POLICY → e.g. lower cash rate or infrastructure spending

SPENDING / INVESTMENT / INCENTIVES → firms invest, households spend, behaviour responds

ECONOMIC ACTIVITY → output, income, jobs, prices, trade change

INDICATOR CHANGES → growth, inflation, employment, external balance, equity, emissions

SHORT RUN effects appear quicker

LONG RUN full effects take time to appear

POLICY LAGS MATTER recognise implementation and impact lags

6 JUDGE TRADE-OFFS AND GIVE A VERDICT

COMMON TRADE-OFFS (EXAMPLES)

- Lower inflation can slow growth and jobs in the short run. — INFLATION vs GROWTH / EMPLOYMENT
- More equity support can add to budget costs or debt. — EQUITY vs BUDGET SUSTAINABILITY
- Green transition can have short-run costs but long-run benefits. — SHORT-RUN COSTS vs LONG-RUN BENEFITS

VERDICT (OVERALL JUDGEMENT)

- **SUCCESSFUL** — The policy has achieved the objective. Indicators are at/above target and trends are positive.
- **PARTIAL / MIXED** — Some improvement, but not consistent or trade-offs limit the overall success.
- **NOT YET SUCCESSFUL** — Little or no improvement (or worse). Indicators below target or moving in the wrong direction.

HSC ANSWER RECIPE

1. Define the objective
2. Name the policy
3. Use data (indicators)
4. Explain the effect
5. Evaluate trade-offs
6. Give judgement

A STRONG HSC JUDGEMENT LINKS POLICY, OBJECTIVE, EVIDENCE AND TRADE-OFFS.